Changes in Operating Policies. Hamilton Woolen Company, another example in the textile field, is a case of individual rather than of general improvement. For several years prior to 1928 the company had operated at substantial losses, which amounted to nearly \$20 and \$12 per share in 1926 and 1927, respectively. Late in 1927 the common stock sold at \$13 per share, although the company had net current assets of \$38.50 per share at that time. In 1928 and 1929 changes in management and in managerial policies were made, new lines of product and direct sales methods were introduced, and certain phases of production were reorganized. This resulted in greatly improved earnings which averaged about \$5.50 per share during the succeeding four years, and within a single year the stock had risen to a price of about \$40.[3]

Sale or Merger. The White Motor instance is typical of the genesis and immediate effect of a sale or merger, as applied to an issue selling for less than liquidating value. (The later developments, however, were quite unusual.) The heavy losses of White Motor in 1930–1932 impelled the management to seek a new alignment. Studebaker Corporation believed it could combine its own operations with those of White to mutual advantage, and it was greatly attracted by White's large holdings of cash. Hence in September 1932 Studebaker offered to purchase all White Motor's stock, paying for each share as follows:

\$5 in cash.
\$25 in 10-year 6% notes of Studebaker Corporation.
1 share of Studebaker common, selling for about \$10.

It will be seen that these terms of purchase were based not on the recent market price of White—below \$7 per share—but primarily upon the current-asset value. White Motor shares promptly advanced to 27 and later sold at the equivalent of 31½.[4]

An interesting example of the same kind, but of more recent date, is afforded by Standard Oil Company of Nebraska. The facts may be outlined as follows:

[3] For the later history of Hamilton Woolen Company, see Chap. 44.

[4] An extraordinary sequel of this transaction was the receivership of Studebaker Corporation in April 1933, ostensibly caused by the opposition of minority stockholders of White Motor to a merger of the two companies. But this development is quite unrelated to our point of discussion, which turns upon the fact that in a sale or merger full recognition should always be, and is ordinarily, given to liquidating value, even though the current market price may be much lower.